

A Letter to the Owners of Hawthorne Water Systems

A fictional annual update for the year ended December 31, 2025

Independent example · September 2026

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To the owners

Hawthorne Water Systems is a fictional company. The figures in this letter are invented to demonstrate how to explain operating results, choices, mistakes, and uncertainty. They are not Berkshire Hathaway figures or investment advice.

In 2025 we sold more monitoring equipment and service plans, but we earned less operating profit on each dollar of revenue. The difference matters. Our installation crews spent more time than planned correcting early failures in a new scheduling system. That work raised costs and delayed some customer handoffs. We should have tested the rollout with one region before sending it to all six.

The year in numbers

Measure	2024	2025	Change
Revenue	\$40.0m	\$46.0m	+15.0%
Operating profit	\$5.20m	\$5.75m	+10.6%
Operating margin	13.0%	12.5%	-0.5 points
Operating cash flow	\$5.6m	\$6.4m	+\$0.8m
Capital expenditure	\$2.0m	\$2.3m	+\$0.3m
Free cash flow	\$3.6m	\$4.1m	+\$0.5m

Operating margin is operating profit divided by revenue. Free cash flow here means operating cash flow less capital expenditure; it is a simple measure for this example, not a standardized accounting line.

Revenue rose 15%, while operating profit rose about 10.6%, so the margin fell from 13.0% to 12.5%. The cash result improved, but one year's cash flow can move with customer payment timing. We would not treat that change alone as proof that the business has become more valuable.

What went wrong

The scheduling system was intended to reduce missed appointments. We moved it into every region after a short pilot with too few high-volume service routes. Dispatchers then had to work around incorrect route times. Direct repair and retraining costs were \$0.9 million in 2025, included in operating profit above. The estimate does not include the time customers lost or any future effect on renewals.

We have restored the prior scheduling process in four regions and kept the new system in two where the data is sound. We will measure missed appointments, repeat visits, and renewals for two quarters before deciding whether to expand it again. We cannot yet say what share of those customers will stay with us.

Where the cash went

Capital expenditure of \$2.3 million included a retrofit of our main assembly line. That spending is already deducted in the \$4.1 million free cash flow figure. Of that remaining cash, we used \$2.0 million to reduce debt, set aside \$1.5 million as additional liquidity, and funded a \$0.6 million sensor pilot. These amounts add to \$4.1 million. The pilot has clear technical milestones; it has no assumed commercial return in this letter.

We considered a second plant expansion. The orders that would justify it are still prospective, so waiting preserved the option to invest later without carrying idle capacity now. If demand becomes firm, we will compare the expected return with debt reduction and other uses of cash at that time.

What we will watch

Our main question for 2026 is whether service reliability recovers without giving back the gains from the new equipment line. We will report missed appointments, repeat visits, and service-plan renewals alongside revenue and profit. A slower recovery would put pressure on both margin and customer trust. A faster recovery would help, but it would not erase the cost of our rollout mistake.

Our obligation is to tell owners how the business performed and where our judgment was weak. The numbers above give the starting point; the customer measures will tell us whether the repair is working.

The management team, Hawthorne Water Systems (fictional)

Example notes and verification

This example uses entirely invented company facts. Its purpose is to exercise the skill package and PDF builder. It is not an analysis of Berkshire Hathaway, a quote from Warren Buffett, or a prediction about any security.

Calculation ledger

- Revenue growth: $(\$46.0\text{m} - \$40.0\text{m}) / \$40.0\text{m} = 15.0\%$.
- Operating profit growth: $(\$5.75\text{m} - \$5.20\text{m}) / \$5.20\text{m} = 10.5769\%$, rounded to 10.6%.
- Operating margin: $\$5.20\text{m} / \$40.0\text{m} = 13.0\%$; $\$5.75\text{m} / \$46.0\text{m} = 12.5\%$.
- Free cash flow: $\$5.6\text{m} - \$2.0\text{m} = \$3.6\text{m}$; $\$6.4\text{m} - \$2.3\text{m} = \$4.1\text{m}$.
- Uses of 2025 free cash flow: $\$2.0\text{m} + \$1.5\text{m} + \$0.6\text{m} = \4.1m .

Review record

The draft was checked for invented source attribution, inconsistent reporting periods, arithmetic, clear metric definitions, adverse information, and uncertainty. The letter explicitly labels the scheduling cost as included in operating profit and the assembly-line spending as included in capital expenditure so readers do not count either twice.